as dematerialised (electronic) one. This electronic format is stored and maintained by these depositories. The change in ownership, whenever transfer of securities takes place, is done electronically. In India, there are two depositories one is National Securities Depository Limited (NSDL), Mumbai and other is Central Depository Services India Ltd (CDSL), Mumbai.

National Securities Depository Limited (NSDL) is the first depository in the country. It was established by UTI, NSE and IDBI. Central Depository Services India Ltd (CDSL) was established by BSE, Bank of India, Bank of Baroda, SBI and HDFC Bank.

Clearing Houses

Clearing houses enable easy settlement of securities trade. Like depositories it also helps in change of ownership and delivery of securities.

Clearing Banks

Clearing banks mediate fund transfer between buyers and sellers. Both securities and fund transfer are made through National Securities Clearing Corporation of India Limited (NSCCL). It mediates between various depositories, clearing houses and clearing banks in settlement of securities and funds respectively. The schematic figure 8.4 explains this.

Figure 8.4